

THE STORY OF MONEY

THE ADOPTION OF MONEY ENABLED EARLY SOCIETIES TO FLOURISH AND GROW INTO COMPLEX CIVILIZATIONS

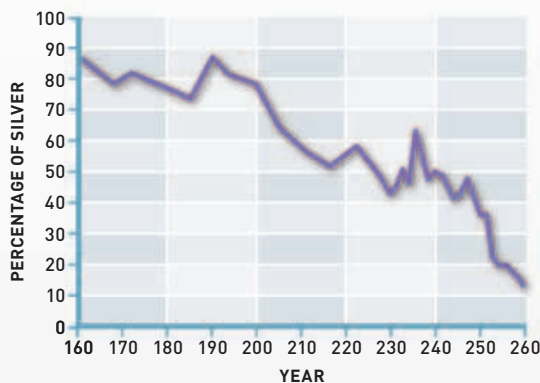
As societies became more complex, a need arose for a uniform medium of exchange to acquire goods. Money was created to fulfill this role, and it evolved from cattle to precious metals, and finally, to coins and bank notes. Today, money is exchanged more abstractly, through credit cards or electronic transfers.

The earliest forms of money—used in ritual exchanges (for example, as a dowry) and in paying fines—included physical items such as cattle. In the 4th millennium BCE, the growth of trade in Egypt and Mesopotamia led to more compact and portable forms of money. For thousands of years, precious metals were used, often in the forms of bars and ingots. Babylonian king Hammurabi's law

code mentions loans paid in silver. In 640 BCE, in the kingdom of Lydia in Asia Minor, the development of money went a stage further with the invention of coinage, which later spread to the Greek world. By the Roman era, a tri-metallic system had been adopted, with coins of gold, silver, and bronze (of least value) circulating across the empire. All had the head of the ruler stamped on them, for propaganda as well as fiscal use.

EXCHANGE NOTES

In 1189, paper money came into use in China during Jin rule. Notes could express larger denominations and, therefore, were more convenient than coins. Gradually, government-backed banks began to issue notes, which were, in theory, exchangeable for an equivalent amount in bullion (a system known as the Gold Standard). However, the economic crisis following World War I forced countries to abandon the Gold Standard. Subsequently, the "real" value of notes and coins became nominal, relying instead on a sense of trust that they could be exchanged for goods. The growth of credit cards from 1950 took this a stage further, as the purchaser passed on nothing save the promise of payment at a later date.



The debasement of Roman coins

Due to inflation, excessive expenditure, and weak control of minting, the purity of the Roman denarius fell from around 90 percent silver under Marcus Aurelius (r. 161–180) to 4 percent during Gallienus's rule (r. 260–268).



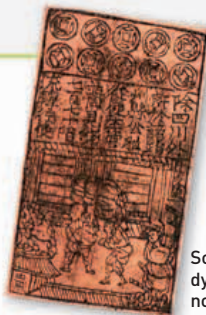
TRADE AND PAPER MONEY

The growth in paper money in Europe after the Middle Ages was fueled by the needs of merchants. Traders would deposit funds in a bank in one city and receive a promissory note, which allowed them to withdraw the amount in any other city where the bank had a branch. Great Italian banking houses, such as the Medici, were rich enough to fund the military campaigns of European kings through their loans.

806–821

Paper money

In China, Emperor Xianzong issues the earliest bank notes during a period of copper shortage. The Jin dynasty issues the first true bank notes around 1189.



Song dynasty note

1519

Thalers

Coin minted from silver found in the Joachimsthal mine, Bohemia, becomes standard in the Spanish and Austrian Habsburg empires.



Joachimsthal thaler

1694

First bank note

The Bank of England is founded to fund England's growing national debt. It issues its first bank notes, backed by the bank's own gold reserves.

1799
Credit and debit cards

The first credit cards appear in the US in 1949. By the 1980s, debit cards, which operate as electronic cash (without deferred payment) appear.



Credit cards

1158

Making change

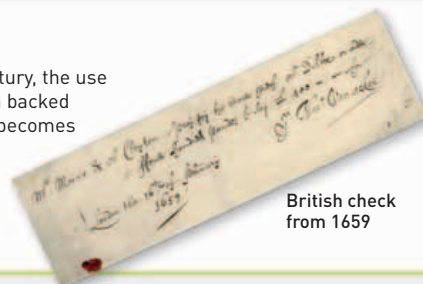
Henry II of England creates high-quality coinage, based on a silver penny, with a cross design that will last over the next 100 years.



Henricus penny

17th century
Modern check

By the 17th century, the use of checks, often backed by goldsmiths, becomes widespread in Europe.



British check from 1659

1862

First dollar bill

The US Treasury issues the first dollar bills for national circulation. These are known as "greenbacks" for their vivid green color.



First one dollar bill